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Introduction	Introduction	Introduction
First variant Question Paper	First variant Mark Scheme	First variant Principal Examiner's Report
Second variant Question Paper	Second variant Mark Scheme	Second variant Principal Examiner's Report

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- First variant Question Paper / Mark Scheme / Principal Examiner's Report

or

- Second variant Question Paper / Mark Scheme / Principal Examiner's Report

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First Variant Question Paper

UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

9155160215

BUSINESS STUDIES **7115/11**

Paper 1 **May/June 2008**

1 hour 45 minutes

Candidates answer on the Question Paper.

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

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DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The businesses described in this question paper are entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

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1 Lloyd Samuel owns a meat wholesale business. He buys his supplies from local farm... sells to private customers and retail shops. He pays for his supplies when they are deliv... but sells to the retailers on one month's credit. Table 1 is an incomplete cash flow foreca... for the last three months of 2008.

Table 1: Cash flow forecast ($000's)

	Oct.	Nov.	Dec.
Opening balance	5	?	10
Cash In			
Cash from sales to private customers	8	8	13
Cash from debtors	10	11	11
Cash Out			
Purchases	5	9	19
Wages	6	6	6
Overheads	3	3	3
Monthly Net Cash Flow	4	1	?
Closing Balance	9	?	6

(a) Calculate the following values:

(i) Opening balance in November: .....[1]

(ii) Closing balance in November: .....[1]

(iii) Monthly net cash flow in December: .....[1]

(b) Explain **one** reason why Lloyd gives credit terms to the retail shops.

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.....[3]

(c) Why might a cash flow forecast be of use to Lloyd in managing his business?

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.....[4]

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(d) Lloyd needs to raise capital to expand his business. He is thinking of forming a b partnership with a friend.

(i) Identify and explain **two** advantages of forming a business partnership.

Advantage 1: .....

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Advantage 2: .....

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.....[4]

(ii) Explain **one** problem Lloyd might face in having a business partner.

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.....[3]

(iii) Apart from forming a partnership, explain **one other** source of finance that Lloyd might use to expand his business.

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.....[3]

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2 Rose Tuilagi had always wanted to run her own business. She decided to open a restaurant. She knew that competition in the catering industry was strong and that her profit margins might be low. However she believed that her business could make high profits.

(a) (i) What is meant by a 'low profit margin'?

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.....[2]

(ii) How could her business make high profits if profit margins were low?

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.....[3]

(b) Outline **three** factors that Rose should consider when deciding where to locate her new restaurant.

Factor 1: .....

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Factor 2: .....

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Factor 3: .....

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(c) In order to increase sales, Rose thought it would be a good idea to sponsor the s… her local football team.

(i) Why might such sponsorship help increase sales?

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.....[3]

(ii) A friend suggested that she might use other forms of promotion instead. State and explain **two** other types of promotion that you think would be appropriate for Rose to use. Justify your suggestions.

Promotion type 1: .....

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Promotion type 2: .....

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.....[6]

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3 'Managing a large company is not easy' said Neelie Kroner, Chief Executive of Kruger Enterprises, a major electronics manufacturing business. 'There is never just one way to organise a business, just different ways.' He made these remarks to Joshua, his deputy at Kruger Enterprises. Mr Kroner was looking at the organisational charts of two of his competitors [A and B] shown in Fig. 1.

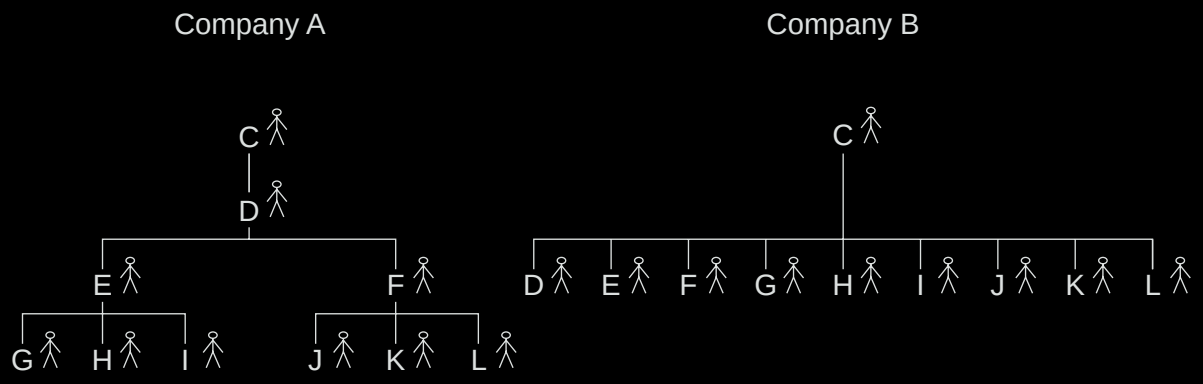


Fig. 1

(a) Identify and explain **two** differences in the way that these two companies are organised.

Difference 1: .....

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Difference 2: .....

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.....[4]

As a large Public Limited Company, Kruger Enterprises needs to communicate effectively both internally and externally.

(b) How do Public Limited Companies communicate with their shareholders?

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(c) **(i)** What is meant by 'internal communication'?

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.....[2]

(ii) Why does good internal communication help business efficiency?

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.....[4]

(d) The management of Kruger Enterprises believes that their business would benefit from taking over company A. Do you think that this would be a good idea for Kruger Enterprises? Explain your answer.

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4 Most governments throughout the world are encouraging business to be more a... environmental responsibilities.

(a) **(i)** Using an example, show how a business decision could damage the environment.

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.....[4]

(ii) How do you think governments can control business activity that damages the environment?

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(b) The government of country W recently increased interest rates in their country. Explain how this change might affect the following two businesses based in country W.

(i) A bakery: .....

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(ii) A car manufacturer: .....

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.....[6]

(c) The government of country W has also been increasing the size of the public sector.

(i) What is meant by the 'public sector'?

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.....[2]

(ii) State and explain **two** objectives that enterprises in the public sector usually have.

Objective 1: .....

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Objective 2: .....

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.....[4]

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5 Kim Chan has recently been on a management training course. He has learnt tha... helps to satisfy human needs'. Kim went back to his father's business and told his father... all about the course. His father laughed and said 'Nonsense, money satisfies human need... People only work to earn money'.

(a) (i) Explain what is meant by 'work helps to satisfy human needs'.

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(ii) Do you think that Kim's father is correct in stating that people only work for money? Explain your answer.

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Wu Chan has recently reduced the number of employees in his business by 40%. Despite this, sales and output have not fallen.

(b) (i) How can the output in Mr Chan's company stay the same if the number of employees has fallen by 40%?

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.....[2]

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(ii) Do you think that reducing the number of employees will benefit Mr business?

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.....[4]

(c) In most countries workers have an employment contract.

(i) State **two** pieces of information usually contained in an employment contract.

Information 1: .....

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Information 2: .....

.....[2]

(ii) Explain why such contracts might be of benefit to both employer and employee.

Benefit to employer: .....

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Benefit to employee: .....

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Second Variant Question Paper

UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

2905721077

BUSINESS STUDIES **7115/12**

Paper 1 **May/June 2008**

1 hour 45 minutes

Candidates answer on the Question Paper.

No Additional Materials are required.

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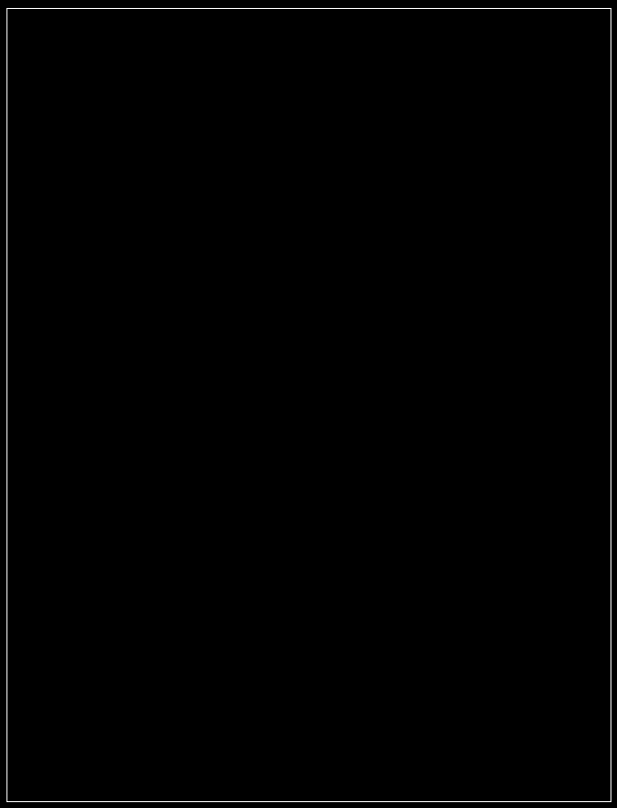
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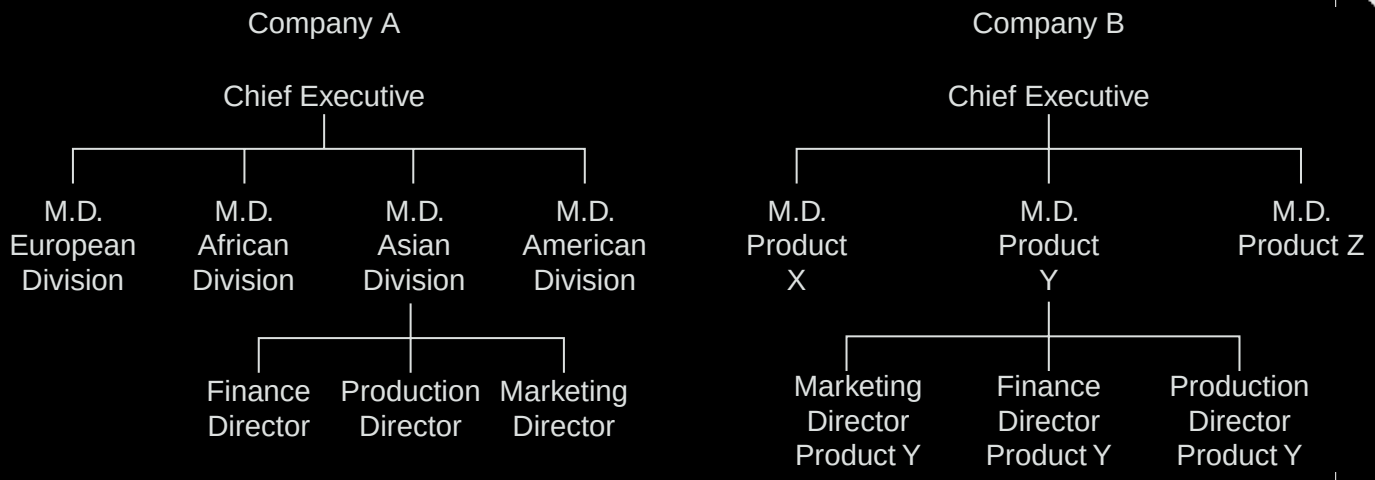


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(a) Identify and explain **two** differences in the way the two companies are organised.

Difference 1: .....

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.....

Difference 2: .....

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..... [4]

(b) Both companies are Public Limited Companies.

Explain **two** main features of a public limited company.

Feature 1: .....

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Feature 2: .....

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